

VINEYARD

Drinking Water Impact Fee Analysis
May 2025

ZIONS PUBLIC FINANCE, INC.

EXECUTIVE SUMMARY

An impact fee is a one-time fee imposed on new development activity to mitigate the impact of new development on capital facilities. In conjunction with this Impact Fee Analysis, Hansen Allen & Luce, Inc. prepared the Vineyard Drinking Water Impact Fee Facilities Plan (IFFP) dated May 2025. The IFFP forms the basis for this impact fee analysis.

The recommended impact fee structure presented in this analysis has been prepared to satisfy the Impact Fees Act, Utah Code Ann. § 11-36a-101 et. seq., and represents the maximum impact fees Vineyard ("City") may assess. The City will be required to use revenue sources other than impact fees to fund any projects that constitute repair and replacement, cure any existing deficiencies, or increase the level of service for existing users.

Drinking Water Demand

The City is anticipated to grow by 4,280 equivalent residential connections (ERCs) between 2024 and 2034 – the timeframe of the IFFP analysis.[1]

Drinking Water Service Levels

Drinking water service levels have been designed to ensure that service levels are maintained to meet the demands of new development and are included, in detail, later in this IFA.

Water Service Area

There is one service area for water that encompasses the boundaries of Vineyard City.

Excess Capacity

According to the IFFP, there is excess capacity in the water distribution system to serve an additional 6,930 ERCs. A review of the City's Asset List calculates the impact fee eligible amount at $1,299,730 that will serve new development over the next 10 years. No source capacity has been included in the IFFP because this capacity is currently provided separately through agreements with the City of Orem and CUWCD. Water storage capacity is showing an existing deficiency of 3.57 MG. This deficiency cannot be paid for with impact fees.

New Construction

Total new construction costs required by growth over the next 10 years are projected to reach $6,746,015 for storage and $22,207,367 for distribution projects.

Water System Impact Fee Calculation

The gross fee is first calculated, followed by credits to be made for the portion of future projects that will benefit existing development.

TABLE 1: MAXIMUM GROSS FEE PER ERC

Summary	Amount
Existing Buy-In Costs	$187.55

[1] IFFP, p. 3-1.

Summary	Amount
Interest on Bonds	$1,101.01
New Construction	$4,343.67
Consultant Costs	$41.72
Fund Balance	($14.13)
Subtotal before Credits	**$5,659.82**

Credits must be made for the proportionate share of new projects that benefit existing development so that new development does not pay more than its proportionate share of costs. According to the IFFP, the cost of new projects that benefit existing development is $6,239,459, not including the amount covered by the outstanding Series 2023 Water/Wastewater Revenue Bond.[2] These projects are anticipated to be paid for with increased rates, spread over 10 years, and therefore new development must be credited so that it does not pay the full impact fee as well as higher rates.

Credits must also be made for future payments on the outstanding Series 2023 Water and Wastewater Revenue Bond issued in the amount of $14,350,000. Water is responsible for 90 percent of the bond. Credits for future payments are then subtracted from the maximum gross fee shown in Table 1 to show the maximum impact fee per year.

TABLE 2: MAXIMUM GROSS FEE PER ERC PER YEAR

Year	Gross Fee per ERC	NPV - Deficiency Projects Credit	NPV - Outstanding Bond Credit	Maximum Fee per ERC
2025	$5,659.82	$855.34	$596.99	$4,207.49
2026	$5,659.82	$739.55	$559.47	$4,360.81
2027	$5,659.82	$639.36	$529.25	$4,491.21
2028	$5,659.82	$551.94	$505.18	$4,602.71
2029	$5,659.82	$468.85	$483.46	$4,707.52
2030	$5,659.82	$388.28	$463.40	$4,808.14
2031	$5,659.82	$309.61	$445.04	$4,905.18
2032	$5,659.82	$231.81	$427.77	$5,000.24
2033	$5,659.82	$155.27	$411.84	$5,092.71
2034	$5,659.82	$78.09	$396.49	$5,185.24

Residential units (per door) are charged based on a ¾" meter size (1 ERC) while all nonresidential development is charged based on meter size.

TABLE 3: FEES BASED ON METER SIZE

Meter Size	ERCs	2025	2026	2027	2028	2029	2030
3/4"	1	$4,207.49	$4,360.81	$4,491.21	$4,602.71	$4,707.52	$4,808.14
1"	1.67	$7,026.51	$7,282.55	$7,500.32	$7,686.52	$7,861.56	$8,029.60

[2] The total amount of new projects benefitting existing development is $10,705,055. However, $4,465,596 of the costs are covered by the outstanding Series 2023 bond.

Meter Size	ERCs	2025	2026	2027	2028	2029	2030
1 ½”	3.33	$14,010.94	$14,521.50	$14,955.72	$15,327.01	$15,676.04	$16,011.12
2”	5.33	$22,425.91	$23,243.12	$23,938.14	$24,532.42	$25,091.07	$25,627.40
3”	10	$42,074.88	$43,608.11	$44,912.07	$46,027.06	$47,075.19	$48,081.43
4”	16.67	$70,138.83	$72,694.72	$74,868.43	$76,727.10	$78,474.34	$80,151.75
6”	33.33	$140,235.59	$145,345.83	$149,691.94	$153,408.18	$156,901.60	$160,255.41
8”	53.33	$224,385.36	$232,562.06	$239,516.09	$245,462.29	$251,051.97	$256,418.28
10”	76.67	$322,588.14	$334,343.39	$344,340.88	$352,889.45	$360,925.46	$368,640.34

Non-Standard Fee Adjustment

In cases where it is determined that the use of meter sizes to assess impact fees would not lead to an equitable result, ERCs may instead be calculated based on estimated peak day demand as follows:

ERCs = (peak day demand, gpd) / (1,248 gpd/ERC)

Examples where a meter size may not produce an equitable result include instances where a development uses multiple meters rather than a single meter or when the meter multiplier does not accurately reflect the expected multiplier of the customer as compared to a standard ERC.

The resulting number of ERCs is then multiplied by the ¾” (1 ERC) maximum fee for the appropriate year as shown in Table 2.

CHAPTER 1: OVERVIEW OF THE CULINARY WATER IMPACT FEES

Summary

An impact fee is intended to recover the City’s costs of building culinary water system capacity to serve new residential and non-residential development rather than passing these growth-related costs on to existing users through rates. The Utah Impact Fees Act allows only certain costs to be included in an impact fee so that only the fair cost of expansionary projects or existing unused capacity paid for by the City is assessed through an impact fee.

Costs to be Included in the Impact Fee

The impact fees proposed in this analysis are calculated based upon:

- Buy-in to existing, excess capacity;
- New capital infrastructure that will serve new development; and
- Professional and planning expenses related to the construction of system improvements that will serve new development.
- Necessary credits

The costs that cannot be included in the impact fee are as follows:

- Costs for projects that cure system deficiencies;
- Costs for projects that increase the LOS above that which is currently provided;
- Operations and maintenance costs;
- Costs of facilities funded by grants or other funds that the City does not have to repay; and
- Costs of reconstruction of facilities that do not have capacity to serve new growth.

Utah Code Legal Requirements

Utah law requires that communities and special districts prepare an Impact Fee Analysis (IFA) before enacting an impact fee. Utah law also requires that communities/districts give notice of their intent to prepare and adopt an IFA. This IFA follows all legal requirements as outlined below. The City has retained Zions Public Finance, Inc. (ZPFI) to prepare this Impact Fee Analysis in accordance with legal requirements.

Notice of Intent to Prepare Impact Fee Analysis

A local political subdivision must provide written notice of its intent to prepare an IFA before preparing the Plan (Utah Code §11-36a-503). This notice must be posted on the Utah Public Notice website. The City has complied with this noticing requirement for the IFA by posting notice.

Preparation of Impact Fee Analysis

Utah Code requires that each local political subdivision, before imposing an impact fee, prepare an impact fee analysis. (Utah Code 11-36a-304).

Section 11-36a-304 of the Utah Code outlines the requirements of an impact fee analysis which is required to:

(1) An impact fee analysis shall:

(a) identify the anticipated impact on or consumption of any existing capacity of a public facility by the anticipated development activity;

(b) identify the anticipated impact on system improvements required by the anticipated development activity to maintain the established level of service for each public facility;

(c) demonstrate how the anticipated impacts described in Subsections (1)(a) and (b) are reasonably related to the anticipated development activity;

(d) estimate the proportionate share of:
  (i) the costs for existing capacity that will be recouped; and
  (ii) the costs of impacts on system improvements that are reasonably related to the new development activity; and

(e) identify how the impact fee was calculated.

(2) In analyzing whether or not the proportionate share of the costs of public facilities are reasonably related to the new development activity, the local political subdivision or private entity, as the case may be, shall identify, if applicable:

(a) the cost of each existing public facility that has excess capacity to serve the anticipated development resulting from the new development activity;

(b) the cost of system improvements for each public facility;

(c) other than impact fees, the manner of financing for each public facility, such as user charges, special assessments, bonded indebtedness, general taxes, or federal grants;

(d) the relative extent to which development activity will contribute to financing the excess capacity of and system improvements for each existing public facility, by such means as user charges, special assessments, or payment from the proceeds of general taxes;

(e) the relative extent to which development activity will contribute to the cost of existing public facilities and system improvements in the future;

(f) the extent to which the development activity is entitled to a credit against impact fees because the development activity will dedicate system improvements or public facilities that will offset the demand for system improvements, inside or outside the proposed development;

(g) extraordinary costs, if any, in servicing the newly-developed properties; and

(h) the time-price differential inherent in fair comparisons of amounts paid at different times.

Certification of Impact Fee Analysis

Utah Code states that an Impact Fee Analysis shall include a written certification from the person or entity that prepares the Impact Fee Analysis. This certification is included at the conclusion of this analysis.

CHAPTER 2: IMPACT FROM GROWTH ON THE CITY'S FACILITIES AND LEVEL OF SERVICE

Utah Code 11-36a-304(1)(a)

Projected Water Demand

Table 4 shows ERC growth projections which will place additional demand on the City's culinary water system. The City's culinary water system serves 3,330 equivalent residential connections (ERCs) which will grow to an estimated 7,610 ERCs by 2034.

Water Service Area

ERCs within Vineyard are projected to grow as follows:

TABLE 4: GROWTH IN DEMAND

Year	ERCs
2024	3,330
2025	3,935
2026	4,549
2027	5,226
2028	5,637
2029	5,999
2030	6,361
2031	6,689
2032	7,080
2033	7,345
2034	7,610

Source: IFFP, 3-1

Existing and Proposed LOS Analysis

Level of service (LOS) defines the water capital facility demands that a typical ERC will require and should pay for with impact fees. The IFFP defines service levels as follows:

Level of Service

- Peak Day Demand: 1,248 gpd/ERC
- Indoor Storage Capacity (Equalization): 590 gallons/ERC
- Indoor Fire Storage Capacity: 58 gallons/ERC (0.6 MG fire storage requirement at buildout divided by the number of ERCs at buildout (10,260))
- Distribution Capacity: 40 psi minimum during peak day demand conditions, and 30 psi minimum during peak instantaneous conditions

Fire Suppression

- Minimum Fire Flow: 1,500 gpm for 2 hours

- Maximum Fire Flow: 2,500 gpm for 4 hours
- Fire Storage (buildout): 600,000 gallons
- Minimum Pressure: 20 psi residual during peak day + fire flow event[3]

Utah Code 11-36a-304(1)(b)(c)

Excess Capacity

No source capacity has been included in the IFFP because this capacity is currently provided separately through agreements with the City of Orem and CUWCD. Water storage capacity is showing an existing deficit of 3.57MG. This deficiency cannot be paid for with impact fees.

TABLE 5: WATER STORAGE EXISTING DEFICIT

10-Year Growth (ERCs)	Level of Service (gal/ERC)	Requirement (MG)	Capacity Remaining (MG)	Surplus/Deficit (MG)
4,280	590	2.53	-1.04	-3.57

The IFFP identifies total capacity of the distribution system as 10,260 ERCs. With 3,330 existing ERCs, that leaves capacity for another 6,930 ERCs. The existing system has an actual cost of $1,924,276 for impact-fee eligible projects.[4] Of this amount, $1,299,730 represents excess capacity, calculated as the percentage of remaining capacity (6,930 ERCs) compared to total capacity of the existing system (10,260 ERCs).

TABLE 6: EXISTING EXCESS CAPACITY

Excess Capacity	Amount
Total Excess Capacity Distribution Cost	$1,924,276
Remaining Capacity - ERCs	6,930
% of Capacity Remaining	67.5%
Cost of Excess Capacity to New Growth	$1,299,730
Source: Vineyard Asset List; IFFP p. 2-3; ZPFI	

CHAPTER 4: SYSTEM IMPROVEMENTS REQUIRED FROM DEVELOPMENT ACTIVITY

Utah Code 11-36a-304(1)(b)(c)

The means by which the City will meet growth demands include constructing the following projects as set forth in the Impact Fee Facilities Plan. Table 6 includes projects that will partially benefit existing development as well as new development.

[3] IFFP, p. 2-1
[4] Vineyard Asset List

TABLE 7: NEW CONSTRUCTION IMPROVEMENTS – EXISTING AND NEW DEVELOPMENT

Project	Total Cost	Type	% Impact Fee Eligible	Total Impact Fee Eligible Cost	Capacity ERCs	Cost to Existing Develop-ment
6.0 MG Storage Tank	$10,539,102	Storage	64%	$6,746,015	9,252	$3,793,087
Booster Pump Station	$7,026,068	Distribution	68%	$4,745,678	10,260	$2,280,390
Pipeline Projects	$14,270,267	Distribution	68%	$9,638,689	10,260	$4,631,578
TOTAL	**$31,835,437**		**-**	**$21,130,381**		**$10,705,055**

Source: IFFP, p. 3-3

Table 8 includes new construction projects that are solely needed to meet the demands of new growth in Vineyard.

TABLE 8 : NEW CONSTRUCTION IMPROVEMENTS – NEW DEVELOPMENT

Project	Distribution	Storage	Total
Mill Road North Extension	$2,191,000	$0	**$2,191,000**
Pump Station Upgrade	$708,000	$0	**$708,000**
South Downtown Distribution	$2,191,000	$0	**$2,191,000**
Holdaway Farms Distribution	$911,000	$0	**$911,000**
East Geneva Distribution	$1,822,000	$0	**$1,822,000**
TOTAL	**$7,823,000**	**$0**	**$7,823,000**

Source: IFFP, p. 3-3

CHAPTER 5: PROPORTIONATE SHARE ANALYSIS

Maximum Legal Culinary Water Impact Fee per ERC

The Impact Fees Act requires the Impact Fee Analysis to estimate the proportionate share of the future and actual cost of existing system improvements that benefit new growth that can be recouped through impact fees. The impact fee for existing assets must be based on the actual costs (when excess capacity is available) while the fees for construction of new facilities can be based on reasonable future costs of the system.

Existing Excess Capacity

The impact-fee eligible actual cost of the City's culinary water system that will serve an additional 6,930 ERCs by 2034 is $1,924,276 with $1,299,730 of the cost of the excess capacity allocated to growth between 2024 and 2034. Therefore, the buy-in cost is $187.55 per ERC.

TABLE 9: EXCESS CAPACITY PROPORTIONATE SHARE CALCULATION

Excess Capacity	Amount
Total Excess Capacity Distribution Cost	$1,924,276
Remaining Capacity - ERCs	6,930
% of Capacity Remaining	67.5%
Cost of Excess Capacity to New Growth	$1,299,730
Cost per ERC	**$187.55**

Interest costs can be included for the Series 2023 Water and Sewer Revenue Bonds which are used to fund existing facilities. The total interest cost on the bond is $12,551,493. Culinary water is responsible for 90 percent of the interest cost which is spread among the total capacity (10,260 ERCs) served by the projects funded by the bond.

TABLE 10: INTEREST COST PROPORTIONATE SHARE CALCULATION

Interest Calculation on Outstanding Bond	Amount
Total Interest Cost to Culinary Water	$11,296,344
Capacity ERCs of Outstanding Bond	10,260
Interest Cost per ERC	**$1,101.01**

New Construction

The storage construction project identified in Table 7 previously has a total capacity of 9,252 ERCs. With 3,330 existing ERCs, capacity remains to serve another 5,922 ERCs. New development between 2024 and 2034 represents 72.3 percent of the remaining capacity. Therefore, this results in a cost of $1,139.14 per ERC.

TABLE 11: NEW CONSTRUCTION PROJECTS - STORAGE

New Improvements - Storage	Amount
Impact-Fee Eligible Cost	$6,746,015
Total ERC Capacity	9,252
Total ERC Capacity Remaining	5,922
Growth in ERCs, 2024-2034	4,280
% of Total Capacity Consumed, 2024-2034	72.3%
Cost to Growth, 2024-2034	$4,875,539
Cost per ERC	**$1,139.14**

The distribution construction projects identified in Tables 7 and 8 previously have a total capacity of 10,260 ERCs. With 3,330 existing ERCs, capacity remains to serve another 6,930 ERCs. New development between 2024 and 2034 represents 61.76 percent of the remaining capacity (4,280 ERCs / 6,930 ERCs). Therefore, this results in a cost of $3,204.53 per ERC.

TABLE 12: NEW CONSTRUCTION PROJECTS - DISTRIBUTION

New Improvements - Distribution	Amount
Impact-Fee Eligible	$22,207,367
Total ERC Capacity	10,260

New Improvements - Distribution	Amount
Total ERC Capacity Remaining	6,930
Capacity Consumed 2024-2034	61.76%
Cost to Growth, 2024-2034	$13,715,372
Growth in ERCs, 2024-2034	4,280
Cost per ERC	**$3,204.53**

Consultant Costs

Consultant costs are an allowable expense and result in a proportionate share cost of $41.72 per ERC.

TABLE 13: CONSULTANT COSTS

Consultant Cost	Amount
Master Plan Cost to Growth	$64,759.20
ERCs Served	1,896
Cost per ERC	**$34.16**
IFFP/IFA Cost to Growth	$20,200
ERCs Served	2,669
Cost per ERC	**$7.57**
TOTAL	**$41.72**

Fund Balance

The fund balance of $60,480.25[5] can be used to offset some of the construction costs of new projects shown in Tables 7 and 8. A credit of $14.13 per ERC is therefore applied to the new construction cost per ERC.

TABLE 14: IMPACT FEE FUND BALANCE CREDIT

Impact Fee Fund Balance	Amount
Fund Balance	$60,480.25
Growth in ERCs, 2024-2034	4,280
Credit per ERC	**($14.13)**

Summary of Gross Impact Fee Before Credits

The gross impact fee includes buy-in costs for existing, excess capacity, interest cost on the outstanding bond, new construction costs (less fund balance) and consultant costs.

TABLE 15: SUMMARY OF GROSS FEE

Summary	Amount
Existing Buy-In Costs	$187.55
Interest on Bonds	$1,101.01
New Construction	$4,343.67

[5] Source: Vineyard City

Summary	Amount
Consultant Costs	$41.72
Fund Balance	($14.13)
Subtotal before Credits	**$5,659.82**

Credits Against Impact Fees

Credits must be made for the proportionate share of new projects that benefit existing development as well as the Series 2023 Water/Wastewater Revenue Bond so that new development is not charged more than its fair share.

The proportionate share of new projects benefitting existing development is $6,239,459 which is anticipated to be paid for with increased rates, spread over 10 years, and therefore new development must be credited so that it does not pay the full impact fee as well as higher rates.

The Series 2023 bond was issued for $14,350,000. Total storage and pump costs reach $17,565,170 as shown below. Therefore, 73.5 percent of the costs are covered by the bond. Existing development's cost of $3,793,087 for the storage tank and $2,280,390 for the pump station are reduced by 73.5 percent accordingly because they are covered by the bond.

TABLE 16: COST TO EXISTING DEVELOPMENT

Project	Total Cost	Cost to Existing	Amt Remaining After Bond for Existing
6.0 MG Storage Tank*	$10,539,102	$3,793,087	$1,004,175
Booster Pump Station*	$7,026,068	$2,280,390	$603,706
Pipeline Projects (see Table 9-1 of the Drinking Water Master Plan)	$14,270,267	$4,631,578	$4,631,578
TOTAL		**$10,705,055**	**$6,239,459**
*Bond Eligible			

The costs benefitting existing development are spread over 10 years as shown in Table 17.

TABLE 17: CREDITS ON PROJECTS BENEFITTING EXISTING DEVELOPMENT

Year	ERCs	Payment	Payment per ERC	NPV*
2025	3,935	$623,946	$158.56	$855.34
2026	4,549	$623,946	$137.16	$739.55
2027	5,226	$623,946	$119.39	$639.36
2028	5,637	$623,946	$110.69	$551.94
2029	5,999	$623,946	$104.01	$468.85
2030	6,361	$623,946	$98.09	$388.28
2031	6,689	$623,946	$93.28	$309.61
2032	7,080	$623,946	$88.13	$231.81
2033	7,345	$623,946	$84.95	$155.27
2034	7,610	$623,946	$81.99	$78.09

Year	ERCs	Payment	Payment per ERC	NPV*
*NPV = net present value discounted at 5 percent				

There is an outstanding Series 2023 Water/Wastewater Revenue Bond issued for $14,350,000. Culinary water is responsible for 90 percent of the bond costs. Impact fees should cover the bond costs associated with new development; however, a credit must be made for the portion of the bond that benefits existing development so that new development does not pay more than its fair share.

TABLE 18: CREDITS FOR SERIES 2023 WATER/WASTEWATER REVENUE BOND

Year	P+I	Proportionate Share	Existing Development Share	ERCs	Payment per ERC	NPV*
2025	$907,638	$816,874	$265,126	3,935	$67.38	$596.99
2026	$906,138	$815,524	$264,688	4,549	$58.19	$559.47
2027	$904,138	$813,724	$264,103	5,226	$50.54	$529.25
2028	$906,638	$815,974	$264,834	5,637	$46.98	$505.18
2029	$908,388	$817,549	$265,345	5,999	$44.23	$483.46
2030	$904,388	$813,949	$264,176	6,361	$41.53	$463.40
2031	$904,888	$814,399	$264,322	6,689	$39.52	$445.04
2032	$904,638	$814,174	$264,249	7,080	$37.32	$427.77
2033	$903,638	$813,274	$263,957	7,345	$35.94	$411.84
*NPV = net present value discounted at 5 percent						

The maximum impact fee per ERC is calculated by subtracting the two credits from the gross impact fee shown in Table 15.

TABLE 19: MAXIMUM FEE PER ERC

Year	Gross Fee per ERC	NPV - Deficiency Projects Credit	NPV - Outstanding Bond Credit	Maximum Fee per ERC
2025	$5,659.82	$855.34	$596.99	$4,207.49
2026	$5,659.82	$739.55	$559.47	$4,360.81
2027	$5,659.82	$639.36	$529.25	$4,491.21
2028	$5,659.82	$551.94	$505.18	$4,602.71
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2034	$5,659.82	$78.09	$396.49	$5,185.24

CHAPTER 6: MAXIMUM FEES

Residential units (per door) are charged based on a ¾" meter size (1 ERC) while all nonresidential development is charged based on meter size.

TABLE 19: MAXIMUM FEE PER ERC BY METER SIZE

Meter Size	ERCs	2025	2026	2027	2028	2029	2030
3/4"	1	$4,207.49	$4,360.81	$4,491.21	$4,602.71	$4,707.52	$4,808.14
1"	1.67	$7,026.51	$7,282.55	$7,500.32	$7,686.52	$7,861.56	$8,029.60
1 ½"	3.33	$14,010.94	$14,521.50	$14,955.72	$15,327.01	$15,676.04	$16,011.12
2"	5.33	$22,425.91	$23,243.12	$23,938.14	$24,532.42	$25,091.07	$25,627.40
3"	10	$42,074.88	$43,608.11	$44,912.07	$46,027.06	$47,075.19	$48,081.43
4"	16.67	$70,138.83	$72,694.72	$74,868.43	$76,727.10	$78,474.34	$80,151.75
6"	33.33	$140,235.59	$145,345.83	$149,691.94	$153,408.18	$156,901.60	$160,255.41
8"	53.33	$224,385.36	$232,562.06	$239,516.09	$245,462.29	$251,051.97	$256,418.28
10"	76.67	$322,588.14	$334,343.39	$344,340.88	$352,889.45	$360,925.46	$368,640.34

Non-Standard Fee Adjustment

In cases where it is determined that the use of meter sizes to assess impact fees would not lead to an equitable result, ERCs may instead be calculated based on estimated peak day demand as follows:

ERCs = (peak day demand, gpd) / (1,248 gpd/ERC)

Examples where a meter size may not produce an equitable result include instances where a development uses multiple meters rather than a single meter or when the meter multiplier does not accurately reflect the expected multiplier of the customer as compared to a standard ERC.

The resulting number of ERCs is then multiplied by the ¾" (1 ERC) maximum fee for the appropriate year.

CERTIFICATION

Zions Public Finance, Inc. certifies that the attached impact fee analysis:

1. includes only the cost of public facilities that are:
    a. allowed under the Impact Fees Act; and
    b. actually incurred; or
    c. projected to be incurred or encumbered within six years after the day on which each impact fee is paid;

2. does not include:
    a. costs of operation and maintenance of public facilities; or
    b. cost for qualifying public facilities that will raise the level of service for the facilities, through impact fees, above the level of service that is supported by existing residents;

3. offset costs with grants or other alternate sources of payment; and

4. complies in each and every relevant respect with the Impact Fees Act.